

## 5 Fund Type

The fund type indicates how the fund is organized and operates — as a mutual fund or as an institutional fund.

*Mutual funds* are public funds that combine the money of many different investors to buy stocks, bonds, and other securities. These funds have broad objectives and investment guidelines, which means their investment managers typically have the ability to take more risk when they try to “beat the market.” A mutual fund’s operation and fees are governed by a legal document known as a prospectus, which is approved by the mutual fund’s board of directors. However, a fund’s board can change fees without the FRS’ permission. Anyone can buy mutual funds, and mutual funds hold about 20% of all money invested in retirement plans (including IRAs).

*Institutional funds* are private funds created by investment management companies for retirement plans or wealthy individuals. These are lower-risk funds because their fund managers are subject to more stringent standards of care when investing on your behalf. The operations and fees of the institutional funds in the Investment Plan are established by contracts with the FRS. Their fees will generally decline as their asset size grows, according to current contracts. Institutional funds represent about 80% of all retirement plan investments in the country. Please refer to the fund summaries and profiles for a full description of each fund’s operations and risks.

## 6 Strategy

There are two investment strategies: passive and active.

*Passively managed* funds try to match the returns of a market index (such as the Russell 3000 index) by buying and holding the same securities as the index they’re trying to match. These types of funds, which are also known as index funds, carry a very low fee.

*Actively managed* funds try to beat a market index. Because of the research needed to predict market changes, these funds have higher fees.

## 7 Risk

Risk indicates the potential for the fund’s value to fluctuate. Greater risk of fluctuation typically indicates more potential for growth. Each fund’s risk is rated from 1 (conservative) to 5 (aggressive) utilizing Lipper’s Relative Risk scale, as defined below.

1. **Conservative:** Lower risk of fluctuations with lower potential for future gains.
2. **Moderate Conservative:** Some risk of fluctuations with reduced potential for future gains.
3. **Moderate:** Potential risk of fluctuations that may be offset by potential for future gains.
4. **Moderate Aggressive:** Increased risk of fluctuations that may be offset by increased potential for future gains.
5. **Aggressive:** Higher risk of fluctuations with higher potential for future gains.

## 8 Annual Fees

These are the current fees the fund charges to cover its management, operating, and marketing expenses. These fees are based on a percentage of your account balance and they are deducted from your account balance. The fees shown are based on a \$1,000 investment in that fund. To determine fees for your balance, divide the annual fees shown by 1,000 to determine the percentage basis. Then multiply that percentage by your actual account balance. Fees may change and are only one of several factors that you should consider when making investment decisions.

## 9 Long-Term Fees

The total fees that would be charged for a \$1,000 investment held for 10 years, based on current annual fees. This measure can help you see how even small fees can compound over time and have a large impact on your nest egg.